

INSTRUCTION

BUILD-OPERATE-TRANSFER (BOT)—TOLL MODE



The concessionaire is responsible for financing, construction, operating and maintaining the road stretch entrusted to them



The concessionaire recovers investment through toll collection during the concession period, which is over 30 years

BOT (Annuity)



The developer builds the highway, operates it for a specified duration and transfers it back to the government



The government starts paying the developer after the launch of commercial operations. Payment is made every six months

WHAT'S HAPPENING

- 1** From more than 80% in FY13, the share of BOT projects declined to zero five years later
- 2** To boost private participation, the government introduced the Hybrid Annuity Model in 2016
- 3** The NHAI has relied primarily on EPC and HAM modes over the past decade
- 4** But with the NHAI picking up the tab, its debt has ballooned in recent years
- 5** NHAI is hoping that the tweaks to the BOT terms will spur a return of private players

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compensation if the tariff projections are built into the revised MCA.

WHO'S INTERESTED?

With the revision in the MCA, the question is: will there be any takers? Construction players that have high risk appetites, coupled with strong capital availability, and a few foreign investors are ready to take the plunge, eyeing better returns from BOT. However, experts are cautious, considering the high risk associated with this mode. In this model, private developers buy the land, build the highway, and collect tolls for a specified period, usually 20 years.

IRB Infrastructure Developers Ltd, the biggest in the BOT space with a market share of 30%, is eyeing 10-15% of the awards, which works

out to around ₹20,000-30,000 crore of the ₹2 lakh crore worth of projects announced.

Having mastered the BOT mode, the company has already completed and handed over 13 concessions, industry parlance for projects, back to the nodal agencies in three decades. As of today, the company is operating the largest BOT portfolio of 18 concessions spread over 11 states.

According to the company, the reason for its success in BOT projects lies in the minimal equity requirements for ongoing projects.

"IRB is an integrated player; it does the execution of the project and the operation and maintenance (O&M) of projects. BOT projects are funded 70% by debt and 30% by equity. We generate around 18-20% cash Ebitda (earnings before inter-

est, taxes, depreciation, and amortisation) on construction and O&M projects," Anil D. Yadav, Director of Investor Relations at IRB Infrastructure Developers Ltd, tells *Business Today*. It helps that the firm has a sovereign wealth fund as a 49% financial partner. "Hence, our equity requirement gets reduced to around 15%, which gets funded from our construction profit," Yadav adds.

Another player, GR Infraprojects Ltd, is also looking to bid for 10-15% of BOT projects. Others likely to enter the race include PNC Infratech Ltd and Ashoka Buildcon, while Dilip Buildcon and H.G. Infra Engineering Ltd will continue to focus on EPC and HAM projects.

The NHAI has already invited bids for 13 projects under the BOT mode worth ₹30,000 crore. More